Profession in transition

The HR function is making a definite shift into the hands of line managers.



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The increasing integration of the world economy and the proliferation of transnational companies has led to a need for evolving practices in organisations – ones that will give them a competitive advantage and help them become attuned to the future needs of their employees.

Very few companies today can claim to have remained unaffected by the pressures of competitive forces due to globalisation. The ability of an organisation to fight these forces lies in its capacity to utilise its human resources.

With the growth in the industries and the increase in the number of workers, who are more knowledgeable and skilled today than workers in the past, the pressure on the HR department to cater to their aspirations on an ongoing basis also increases. Most companies still do not seem to understand the importance and strategic value of an HR department.

This may be due to the fact that employees in organisations still view it as an old and conventional Personnel or Administrative department doing only routine and administrative work and sometimes shuffling papers.

In fact, the HRD roles were so structured that they neglected the developmental roles. The consequence of heavy administrative roles was that HR was unable to meet the needs of several employees, especially in a relationship-driven model where every employee has unique needs and wants HR to cater to them.

This led to a change in HR moving away from direct training and training administration towards an advisory, consultancy and facilitator role. This change has entailed shifting of traditional HR responsibilities and roles of the HR department to either outsourcing or delegating the responsibilities to the functional managers.

This move has been made, not to free HR of its boring, repetitive operational activities and to thrust them down the line managers throat, but to free the HR profession from biases and inefficiencies and also to optimise the performance of HR Managers to make them more facilitators rather than "Agony aunts", "Devils' Advocates" or "Appendices" in the organisation. The perception of HR in its traditional role has been either all or one of the above.

With the rise in the array of activities like expansion, divestments, mergers and acquisitions in the face of competition, HR activities have grown many fold. Perhaps the most striking change in HR's role is its growing importance in developing and implementing strategy.

Traditionally, strategy – the company's plans of balancing its internal strengths and weaknesses with its external threats and opportunities – in order to maintain a competitive advantage, was primarily the job of the company's operating (line) managers. Thus the company's top management might decide to enter new markets, drop product lines or embark on a five year cost cutting plan. The personnel implications (such as retrenchment, recruitment, redeployment, transfer of human assets, outplacement) of such strategic moves are to be taken care of by the HR department.

Since all such activities need to be handled by the HR department of a company, it is of importance that the department be given a strategic decision making role instead of remaining a silent observer and reacting only when the strategic decisions have been finalised and implemented.

This is where the role of the line or functional managers comes in to help the HR department by carrying on the administrative task of HR and letting them move into a strategic function in terms of helping the management to take important business decisions.

It is now increasingly important to involve HR in developing and implementing the strategic plans at the earliest stage. Thus, we find a shift in the HR profession from personnel management to strategic human resource management.

Roles like job analysis, recruitment, selection, compensation, rewards, appraisals and training and development are now increasingly being shared between the HR and line managers.

In this way, line managers are more involved with the process of monitoring training and evaluating the people who work under them. It has been seen for some time now that bad management is the key reason for sickness absence and lack of job satisfaction among staff. The relationships that employees have with their bosses are fundamental to their well-being.

However, traditional bosses either use the carrot

or stick model to get their employees to work or ask HR to clean up after the relationship has been damaged – in terms of transferring the employee or laying him off. HR thus has to work in tandem with line managers if firms are to retain their best employees.

Like any change, there are teething troubles with the new role that the line managers have been asked to take. For example, their resistance is mainly because they view these issues as, "Not my job" or, "What is the point of having an HR department if we do all this too?" or, "I am a technical person, it's not fair to ask me to monitor my employees". The reactions range from subtle discomfort to more vociferous discontent.

However, one needs to recognise the importance and requirement of such an action, considering the fact that there is increased competition and greater expectation from each employee of the organisation to deliver. An increase in the required number of competencies and their levels – as the manager moves up the organisational ladder in terms of responsibility and hierarchy – is visible today. Eminent to these roles is being a people-oriented leader or a coach/mentor rather than being the headmaster of the team.

Another face of this issue is the reluctance on the part of managers who believe that the relationship with their subordinates will suffer if they are solely responsible for their appraisal, rewards and compensation. Apprehensions exist about biases that might be in play in such cases.

These worries will take some time to die down because the focus here is not on components of HR functions being delegated to the line managers but on both these entities working in tandem to contribute to the development of the employee and give him an opportunity for growth. The fact remains that no one is appreciated more than a line manager who goes to HR first for guidance on structuring a particular action such as promotion, hiring, discipline or discharge. It frustrates HR to carry out firefighting measures once the problem has reached a crisis level.

Conclusion

So, what is in it for line managers? Line managers may often view HR as an unnecessary appendage or as full of bureaucratic red tape, especially when it comes to firing an ineffective employee. This is because line managers very often delay confrontation with under-performers, hoping that they will improve. Unfortunately the problem escalates to a breakdown point when the managers want the employee fired instantly. HR however is unable to do so because of the acceptable performance records of the employee and no progressive discipline reports.

In instances like these, line managers would be better off with handling the appraisal, the hire/fire decision in consultation with HR that will assume a more consultative role, rather than sitting and seething over the fact that nothing works. HR can not only help the managers take the desired action in such cases but can also look at the situation from a fresh angle and work out a solution acceptable to both parties. For such a role, HR needs to be looked upon as an unbiased and neutral player unburdened by past baggage of negative group dynamics.

Line managers and supervisory staff are required to enhance their HRD competencies by seeking answers to the following questions:

1. How much do you understand the significance of HRD?
2. Are you interested and motivated to develop yourself?
3. Are you willing to spend your time and effort in developing your subordinates?
4. How supportive are you of HRD efforts?
5. Do you have listening and other skills that are required for facilitating development of your juniors?

Like many staff functions, HR departments may be conservative, risk averse and afraid to offend line managers whose support they need to carry on their functions effectively. The responsibilities now bundled in HR departments are all extremely important. Of these, some can be automated and some outsourced. Some can be unbundled and returned to line managers and to other staff functions (Finance for compensation, IT for HR information systems and employee data base management etc.).

Some can lead to the setting up of fully owned subsidiaries that can work as profit centers as opposed to cost centres, which HR departments are made out to be. In some company's quality and cost issues, empowerment and leadership issues are finding a place in the HR agenda. Redefining the role of HRD will get a lot of line managers involved in various HR processes. HR has begun to be owned by line managers. ■

DID YOU KNOW?

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